

INDIA STRATEGY

India Domestic Investor Feedback: Cautious Near-Term, Constructive on Select Alpha

On our marketing trip to India (May 12-13), we met an array of domestic institutional investors in Mumbai. Below, we summarize our key discussions:

1. When will the semiconductor memory upcycle peak? That was the most common investor question in our meetings. Most investors were looking for markers to identify the maturation in the semi up-cycle. Where investors had the option, they were looking to deploy capital offshore over onshore. We think a record supply shortfall in both DRAM and NAND relative to strong demand growth driven by hyperscaler investment, and the pivot by memory producers toward long-term 3-5 year agreements supports expectations of higher-for-longer profitability for the Korean semiconductor stocks.

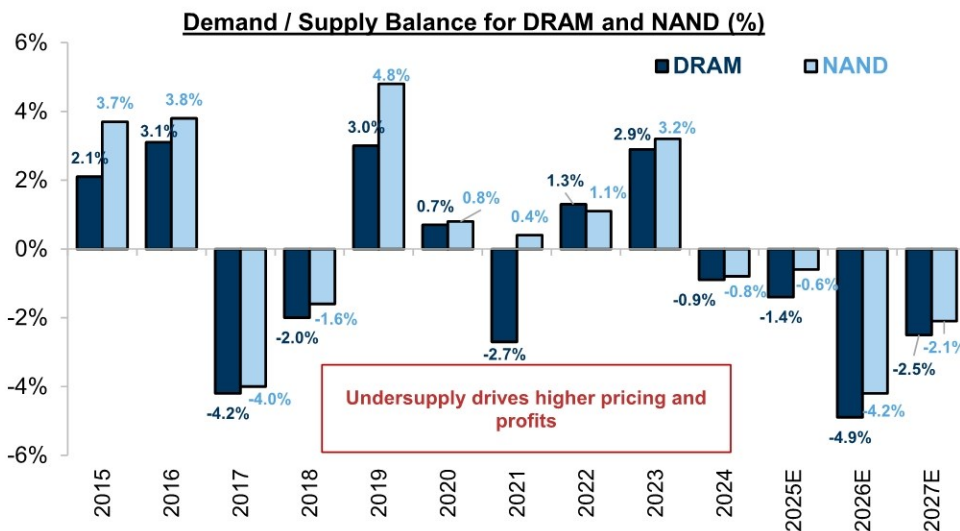
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Exhibit 1: Demand continues to outpace supply for DRAM and NAND, leading to exceptionally strong memory producer profitability

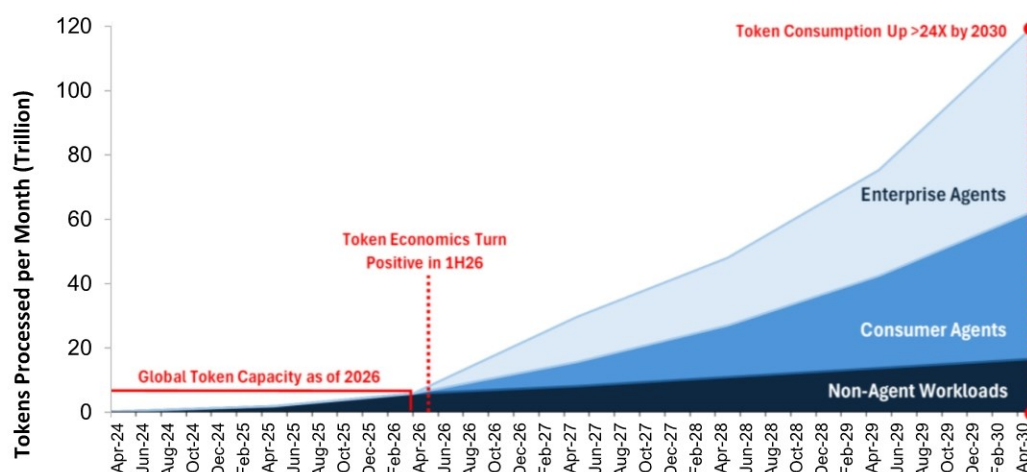


Note: Based on our Tech Equity analysts' estimates

Source: Goldman Sachs Global Investment Research, Company data

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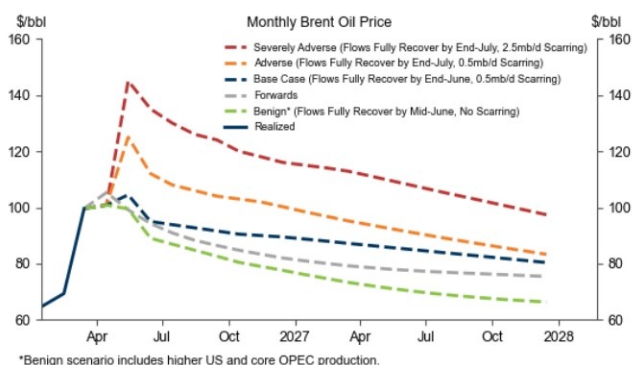
Exhibit 2: By 2030, we estimate consumer and enterprise agents could push token consumption 24X above today's estimated global capacity.



Source: Data compiled by Goldman Sachs Global Investment Research

2. Macro vulnerability from the Iran war. While most investors agreed there exist risks to INR and an economic growth slowdown stemming from higher oil prices and potential supply shortages, the expectation of duration of elevated oil prices and extent of commodity shortages differed among investors. Some saw a resolution of the Iran conflict as a catalyst for Indian equities, while others were concerned about higher-for-longer prices of commodities affecting input costs for downstream pockets. A minority set of our clients were optimistic of tailwinds from policy measures such as government capex spend, GST rate cuts, pay commission boost, etc. We expect oil prices to stay higher, for longer, and consequently forecast a sharp earnings downcycle in the near-term.

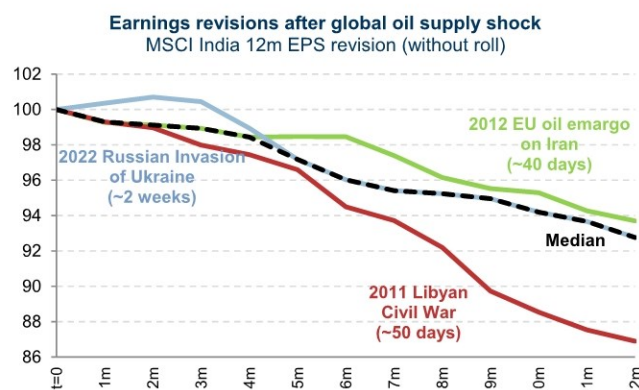
Exhibit 3: The risks to oil prices are skewed to the upside



Prices correspond to nearby futures contract traded that month.

Source: ICE, Goldman Sachs Global Investment Research

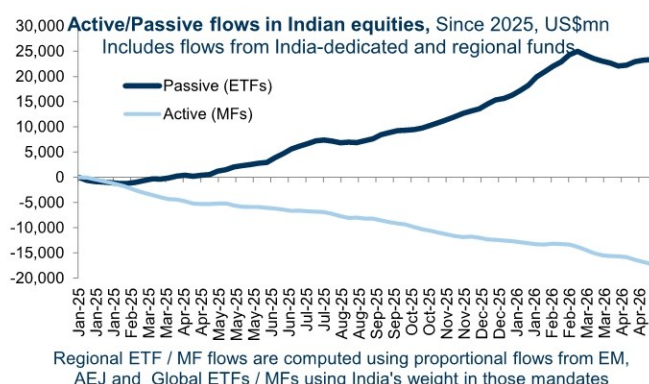
Exhibit 4: Historically, we have seen India earnings get downgraded by 6-13% (median 7%) in the 12 months after an energy supply shock



Source: Refinitiv Eikon, FactSet, Goldman Sachs Global Investment Research

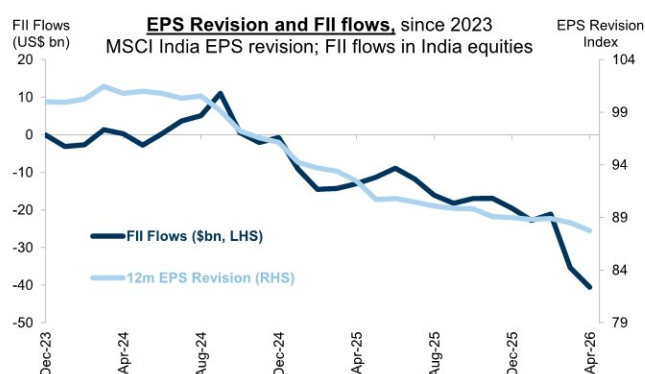
3. Weak foreign flows offset by domestic strength. It was widely agreed that foreign capital may not return to equities in the near-term, citing weak INR and India's less attractive risk/reward compared to other EM pockets. After continued outflows from 'active' global money, domestic clients expressed worry around tapering passive inflows amid India's shrinking share in global indices. We think while much of the foreign selling may have already occurred in anticipation of forthcoming downgrade cycle, low visibility around earnings recovery will likely impede foreign re-buying. Despite weak foreign flows, most domestic funds remained confident on continued strength in domestic inflows, amid a structural shift towards financialization of household savings.

Exhibit 5: After continued outflows from active global money, domestic clients expressed worry around tapering passive inflows



Source: EPFR, Goldman Sachs Global Investment Research

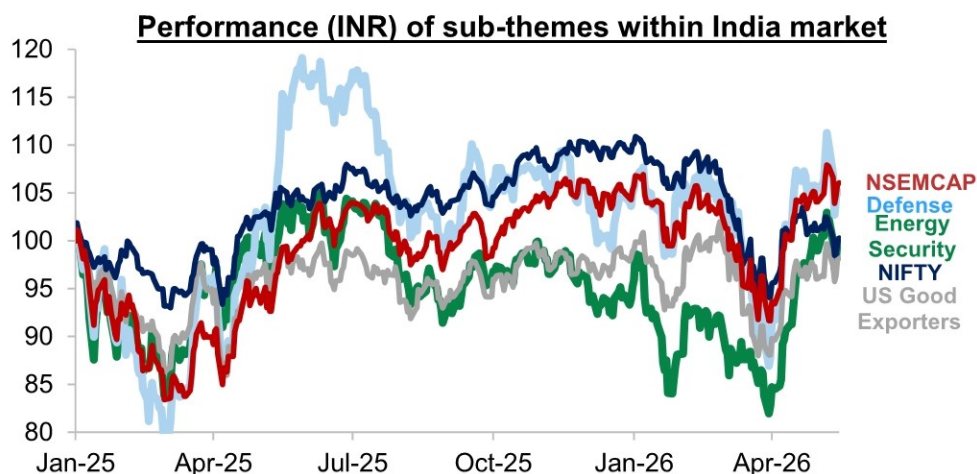
Exhibit 6: While much of FII selling may have already occurred in anticipation of a downgrade cycle, low visibility around recovery will likely impede re-buying



Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

4. Stock-specific alpha and thematic plays. Many investors cited the recent pull-back in India's absolute valuation multiples as an opportunity to engage in stock-specific alpha and thematic plays. Conviction themes included energy security, data center capital equipment, goods exporters (benefiting from weak INR and recently concluded FTAs), and small/midcap stocks. On AI-related concerns for the IT sector, many domestic investors were willing to look through the near-term weakness on the expectation that the sector will eventually participate in the AI value-chain.

Exhibit 7: Conviction themes among DIIs included energy security, goods exporters, data centers and SMID caps



Source: FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

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